SECURED MICROFINANCE TERM LOAN AGREEMENT

LOAN AGREEMENT NO.

MFI/IN/KOL/2026/784512

DATE OF EXECUTION

15 May 2026

This Secured Microfinance Term Loan Agreement ("Agreement") is entered into between:

LENDER

ABC Rural Capital Finance Limited, a Non-Banking Financial Company (NBFC-MFI) incorporated under the Companies Act, 2013 and registered with the Reserve Bank of India under Section 45-IA of the RBI Act, having its registered office at Kolkata, West Bengal (hereinafter referred to as the "Lender", which expression shall, unless repugnant to the context, include its successors, assigns, affiliates, and permitted transferees);

AND

BORROWER

Mr. Rakesh Kumar Sharma, residing at Village Maheshtala, South 24 Parganas, West Bengal, Aadhaar-linked KYC verified individual borrower (hereinafter referred to as the "Borrower").

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1. DEFINITIONS AND INTERPRETATION

For purposes of this Agreement, unless the context otherwise requires:

- "Applicable Law" shall mean all statutes, ordinances, regulations, notifications, circulars, RBI Master Directions, prudential norms, and governmental directives in force from time to time.
- "Event of Default" shall include any breach, misrepresentation, insolvency proceeding, non-payment, cross-default, or material adverse change affecting repayment capacity.
- "Penal Interest" means additional interest levied at the rate of 3.5% per month on overdue amounts.
- "Moratorium Period" means the deferment period during which only accrued interest shall be serviced.

- “Hypothecated Assets” shall include livestock equipment, irrigation machinery, agricultural inventory, and movable collateral charged in favor of the Lender.

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2. SANCTION OF FACILITY

Subject to the terms and conditions herein contained, the Lender hereby sanctions a secured term loan facility of INR 4,85,000/- (Indian Rupees Four Lakhs Eighty-Five Thousand Only) to the Borrower.

The sanctioned facility shall be utilized exclusively for:

- Agri-infrastructure modernization;
- Procurement of irrigation equipment;
- Working capital augmentation for rural enterprise operations.

Diversion or siphoning of funds shall constitute a material breach of covenant.

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3. INTEREST RATE AND COMPUTATION

3.1 The Loan shall carry interest at a floating rate equivalent to:

Repo Linked Lending Rate (RLLR) + 9.75% spread per annum.

3.2 Interest shall accrue on a reducing balance basis and shall be capitalized monthly.

3.3 The Annualized Percentage Rate (APR), inclusive of processing fees, insurance premium loading, field verification charges, documentation levy, and administrative surcharges, is estimated at 28.47%.

3.4 The Lender reserves unilateral rights to revise the spread component upon adverse macroeconomic movements, inflationary fluctuations, liquidity stress, or regulatory directives.

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4. PROCESSING FEES AND ANCILLARY CHARGES

The Borrower irrevocably agrees to the following deductions:

Charge Component	Amount
Processing Fee	INR 12,500
Documentation Charges	INR 4,250

Charge Component	Amount
Credit Bureau Pull Charges	INR 1,100
Field Investigation Charges	INR 2,800
Mandatory Credit Shield Insurance	INR 9,600
GST and Statutory Levies	As Applicable

Such charges are non-refundable irrespective of foreclosure, cancellation, or repudiation.

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5. SECURITY CREATION

5.1 As continuing security for due repayment, the Borrower hereby hypothecates all movable assets described in Schedule I.

5.2 The Borrower additionally creates an equitable mortgage over agricultural land parcel bearing Plot No. 77B/14.

5.3 The Borrower authorizes the Lender to invoke SARFAESI proceedings in case of persistent delinquency.

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6. REPAYMENT OBLIGATIONS

6.1 The loan shall be repaid in 84 equated monthly installments ("EMIs") of INR 11,984 each.

6.2 EMI due dates shall be auto-debited via NACH mandate registered with the Borrower's banking institution.

6.3 Dishonor of ECS/NACH instructions shall attract bounce charges of INR 1,750 per instance.

6.4 Partial prepayment shall be permissible only after lock-in completion of 18 months and subject to foreclosure charges equivalent to 6% of outstanding principal.

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7. REPRESENTATIONS AND WARRANTIES

The Borrower hereby represents and warrants that:

- No insolvency, bankruptcy, winding-up, or restructuring proceedings are pending;

- The financial statements submitted are true and not materially misleading;
- No wilful default classification exists under any banking or financial institution;
- The Borrower has not suppressed any contingent liability or encumbrance.

Any misrepresentation shall render the facility immediately recallable.

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8. AFFIRMATIVE COVENANTS

The Borrower shall:

- Maintain debt-service coverage ratio (DSCR) satisfactory to the Lender;
- Furnish quarterly utilization certificates;
- Permit forensic audit, field inspection, and stock verification upon request;
- Comply with anti-money laundering (AML) and know-your-customer (KYC) obligations.

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9. NEGATIVE COVENANTS

Without prior written consent of the Lender, the Borrower shall not:

- Create subordinate charges or pari passu encumbrances;
- Dispose of hypothecated assets;
- Undertake speculative transactions;
- Enter into leveraged financing arrangements detrimental to repayment capability.

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10. EVENTS OF DEFAULT

The following shall constitute Events of Default:

- Failure to pay any installment beyond 15 calendar days;
- Insolvency admission under IBC provisions;
- Material deterioration in creditworthiness;
- Any seizure, attachment, or adverse governmental proceeding;
- Death or permanent incapacitation of the Borrower without approved guarantor substitution.

Upon occurrence of an Event of Default, the Lender may:

- Accelerate repayment obligations;
- Recall the entire outstanding facility;
- Enforce collateral security;
- Initiate arbitration or recovery proceedings.

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11. COLLECTION AND RECOVERY RIGHTS

11.1 The Borrower consents to telephonic follow-ups, field visits, digital reminders, and third-party collection engagement for recovery purposes.

11.2 Recovery agents may conduct residence verification and workplace tracing subject to regulatory guidelines.

11.3 All recovery-related expenses, including legal counsel fees, arbitration costs, repossession charges, valuation expenses, and enforcement expenditures shall be recoverable from the Borrower.

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12. DATA SHARING CONSENT

The Borrower expressly authorizes the Lender to:

- Share repayment behavior with credit bureaus including CIBIL, Experian, Equifax, and CRIF High Mark;
- Process biometric e-KYC data;
- Utilize transaction metadata for underwriting analytics and behavioral risk profiling.

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13. DISPUTE RESOLUTION

Any dispute arising out of this Agreement shall be referred to sole arbitration under the Arbitration and Conciliation Act, 1996.

The seat of arbitration shall be Kolkata, West Bengal.

Courts having territorial jurisdiction in Kolkata alone shall have exclusive jurisdiction.

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14. FORCE MAJEURE

The Lender shall not be liable for delays arising due to:

- Natural calamities;
- Regulatory embargoes;
- Cybersecurity incidents;
- Banking infrastructure outages;
- Political disturbances or civil unrest.

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15. DECLARATION

The Borrower acknowledges having:

- Read and understood all clauses;
- Received the Key Fact Statement (KFS);
- Understood penal charges, compounding methodology, and collateral implications.

The Borrower waives rights to dispute enforceability on grounds of inadequate understanding.

SIGNATURES

FOR THE LENDER

Authorized Signatory
ABC Rural Capital Finance Limited

Signature: ____________________

BORROWER

Rakesh Kumar Sharma

Signature/Thumb Impression: ____________________

GUARANTOR

Sunita Devi

Signature: ____________________

SCHEDULE I – HYPOTHECATED ASSETS

1. Diesel irrigation pump set
2. Agricultural tiller machinery
3. Livestock inventory
4. Warehouse grain stock
5. Rural transport vehicle (Mahindra Bolero Pickup)

ANNEXURE – RISK DISCLOSURE

The Borrower acknowledges exposure to:

- Interest rate reset risk;
- Liquidity-induced refinancing constraints;
- Regulatory compliance burden;
- Credit impairment classification;
- Asset repossession and enforcement action.

Failure to regularize overdue accounts may result in:

- SMA categorization;
- NPA tagging;
- Recovery tribunal proceedings;
- Adverse bureau scoring impacting future credit eligibility.